Crisis Recovery & Business Strategy

Jan - Sep 2025

The Crisis

What happened ?

In June 2025, QuickBite experienced a major operational and reputational crisis driven by two key events:

- A viral incident highlighting food safety issues at partner restaurants
- A week-long delivery outage during the monsoon season

These events led to significant customer backlash, a decline in trust, and reduced platform activity. At the same time, competitors leveraged the situation through aggressive campaigns, further impacting QuickBite's market position.

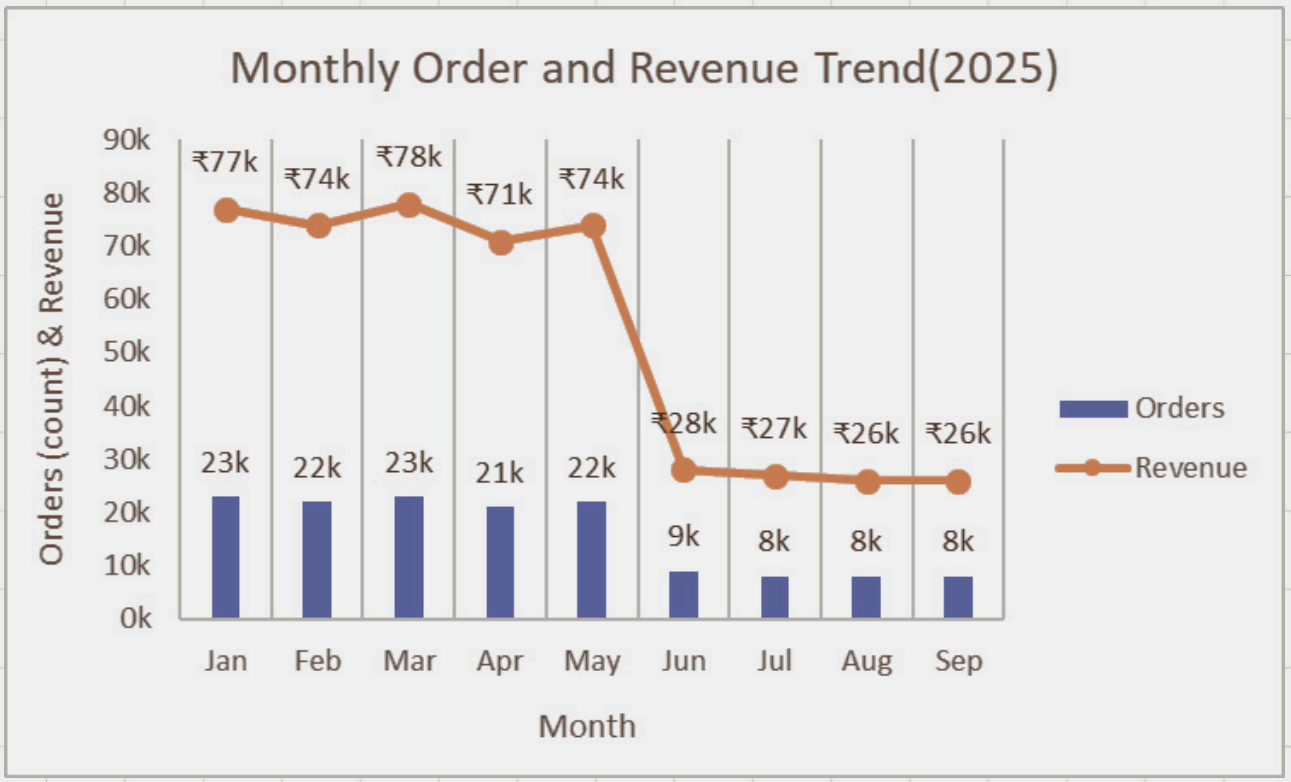
Business Impact

What changed over night?

All three key business metrics—orders, revenue, and cancellations—showed a sharp negative shift

Order Decline	Revenue Drop	Cancellation Rate
70%	₹26 Cr	38 %

Orders and revenue fell sharply, while cancellations surged during the crisis



Customer Behavior

What did customers do?

Customers didn't immediately leave — they slowly disengaged

Active Customers	Retained Customers	Churned Rate
99k	11k	85%

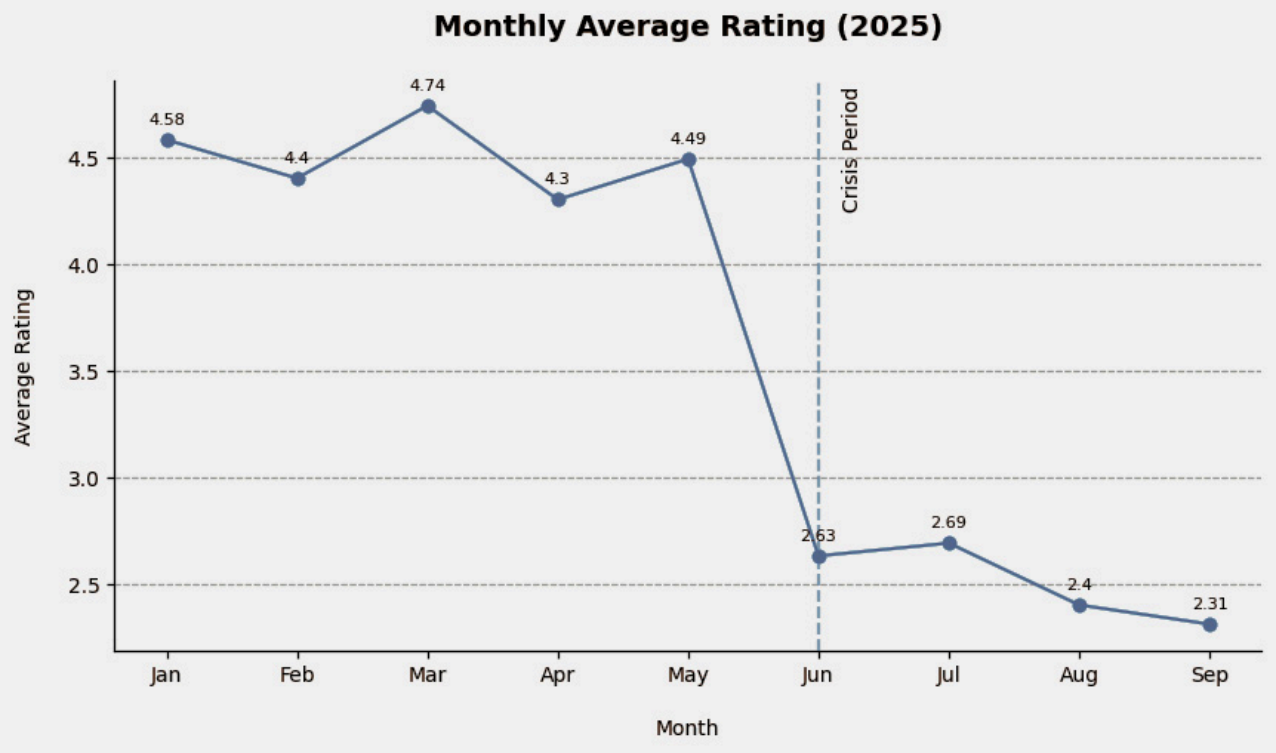
Even among retained customers, around 2K customers significantly reduced their engagement, with order frequency dropping by 50% or more

Only a small segment of customers continued ordering, indicating a substantial drop in overall customer engagement.

Customer Concerns

What went wrong?

- Average ratings declined during the crisis
- Negative sentiment in reviews increased



31 % of negative reviews highlighted food quality issues, while

29 % pointed to late deliveries

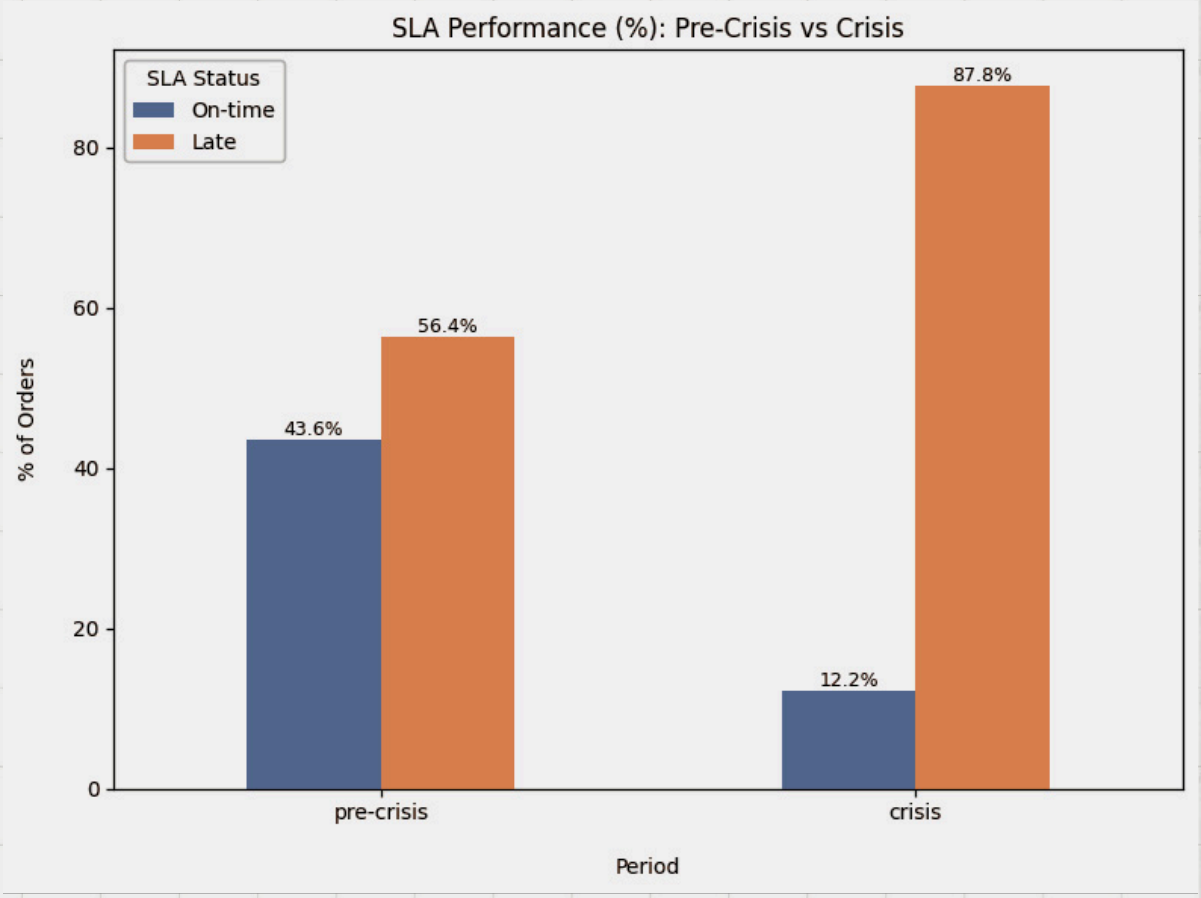
Delivery Breakdown

What went wrong?

Late deliveries became a consistent issue

Average delivery time increased during the crisis

Average Delivery Time - Pre Crisis	Average Delivery Time - Crisis	Average Delivery Time - Expected
40 mins	**60 mins**	**39 mins**



Customer Recovery Strategy

High Value Customers : 4.3k

- Top 5% customers by total spend before the crisis
- Drives 13 % of the total revenue before crisis
- Winning back this segment of customers offers the highest ROI
- Action: Personalized incentives & priority support

Loyal Customers : 50

- Customers with 5 or more pre-crisis non-cancelled orders
- Loyal customer order 3 x more than average
- This segment is essential for maintaining repeat revenue
- Action: Loyalty rewards & retention programs

Customer Recovery Strategy

At Risk Customers : 490

- Customers with 3 or more pre-crisis non-cancelled orders but 0 during crisis
- ₹6.86 L revenue at risk due to declining engagement.
- Action: Re-engagement campaigns

New Customers : 16 K

- Customers who placed their first order during crisis
- Improving repeat rates presents a key opportunity for future growth
- Action: Improve onboarding & early experience

These segments help prioritize recovery efforts based on revenue impact and retention potential

Restaurants Partnership

Low Performing Restaurants : 1.9K

- Restaurants with an average rating below 3.5.
- Contribute to 30% of the total food complaints received
- Action: Improve or offboard these restaurants

High Performing Restaurants : 12K

- Restaurants with an average rating above and equal to 4.0.
- Contribute to 62% of the total non-cancelled orders
- Action: Increase platform visibility, promote as “trusted partners” .

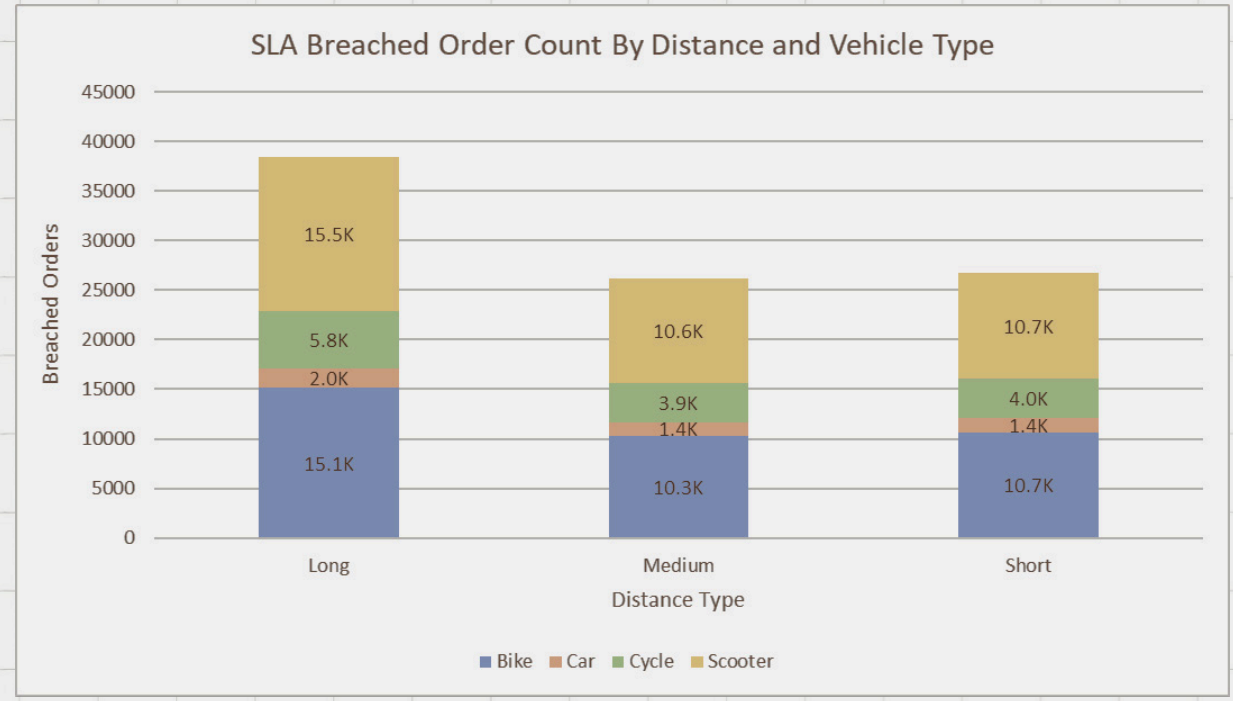
Growing Restaurants : 800

- Restaurants with more orders during crisis phase than pre-crisis phase
- Action: Provide training & onboarding support

Delivery Optimization

1. *Manage Under Performing Partners:*

- Partners with 100% late deliveries : 319 Partners
- Action: Monitor, penalize, or offboard

2. *Optimize Vehicle Allocation*

- Mismatch between delivery distance and vehicle type is a key driver of inefficiencies
- SLA breaches increase for long-distance deliveries
- Cycles are inefficient for long distances
- Cars are underutilized
- Action: Align vehicle type with delivery distance